When power is concentrated at organizations like SEBI, these organizations will find it difficult to achieve state capacity. The detailed interference by the administrative state in the economy saps economic vitality. There is a need to rethink this construction of the administrative state, in order to set India on a path of sustained economic growth into becoming a mature market economy.

The detailed licence–permit raj, and the fear of investigation agencies, are arguably at a peak in India today. How do we restore freedom? The agenda of liberalization and economic freedom requires going back to the foundations of common law: to a world of contracts, torts, private enforcement and class action lawsuits. This is what is required to scale back the administrative state.

The traditional conception of economists on contract enforcement has been that courts are required to enforce contracts. When the courts fail in this, the implications are relatively modest: there is reduced specialization and there are repeated games. Our perspective, however, runs deeper. When the courts fail, we get the rule of officials.

After Independence, we fared poorly on development of the judiciary. The coping mechanisms adopted by policymakers, in response to the failure of the judiciary, have their own harmful consequences. We need to address these failures at the root cause, through fundamental change in the judicial branch. We need to push back on the new central planning system, this administrative state, and graduate to a world of much greater reliance on the judiciary, a world of contracts, torts, class action lawsuits and private enforcement.

Summing up

The ‘administrative state’ is the rule of bureaucrats. This is a state where the officials manning the executive creep into controlling legislative and judicial functions. In the administrative state, politics—the process of negotiation between interest groups—has a limited role. The Indian